



STATE CAPITALISM AND INTERNATIONAL INVESTMENT LAW

STUDIES IN INTERNATIONAL TRADE AND INVESTMENT LAW

EDITED BY
PANAGIOTIS DELIMATSISS,
GEORGIOS DIMITROPOULOS
AND ANASTASIOS GOURGOURINIS

STATE CAPITALISM AND INTERNATIONAL INVESTMENT LAW

This book explores how State capitalism affects and reshapes international investment law. It sheds new light on the various ways States actively influence business and commercial activity globally by using sovereign investors such as state-owned enterprises and sovereign wealth funds or pension funds. With a diverse group of contributors from a broad range of countries, the book offers a fresh and timely look into the fundamentals of State capitalism, focusing in particular on its actors and processes, the contextual elements that surround it, and the new political economy that comes with it.

The book is essential reading for researchers, regulators, policy makers and practitioners interested in the different ways State capitalism challenges and changes international investment law. As geopolitical considerations increasingly affect global economic activity, delving into the intricacies of State capitalism has never been more timely.

Studies in International Trade and Investment Law: Volume 28

Studies in International Trade and Investment Law

Series Editors

Gabrielle Marceau

Krista Nadakavukaren Schefer

Federico Ortino

Gregory Shaffer

This series offers a forum for publication of original and scholarly analyses of emerging and significant issues in international trade and investment law – broadly understood to include the whole of the law of the WTO, the public international law of foreign investment, the law of the EU common commercial policy and other regional trade regimes, and any legal or regulatory topic that interacts with global trade and foreign investment. The aim of the series is to produce works which will be readily accessible to trade and investment law scholars and practitioners alike.

Recent titles in this series:

Balancing Human Rights, Environmental Protection and International Trade:

Lessons from the EU Experience

Emily Reid

Public Procurement and Labour Rights: Towards Coherence in International Instruments of Procurement Regulation

Maria Anna Corvaglia

The China-Australia Free Trade Agreement: A 21st-Century Model

Edited by Colin Picker, Heng Wang and Weihuan Zhou

Regional Economic Integration and Dispute Settlement in East Asia:

The Evolving Legal Framework

Anna G Tevini

The EU, World Trade Law and the Right to Food: Rethinking Free Trade Agreements with Developing Countries

Giovanni Gruni

Patent Games in the Global South: Pharmaceutical Patent Law

Making in Brazil, India and Nigeria

Amaka Vanni

The Nationality of Corporate Investors under International Investment Law

Anil Yilmaz Vastardis

The Regulation of Product Standards in World Trade Law

Ming Du

Investors' International Law

Edited by Jean Ho and Mavluda Sattorova

Rethinking, Repackaging, and Rescuing World Trade Law in the Post-Pandemic Era

Edited by Amrita Bahri, Weihan Zhou and Daria Boklan

Flexible Regional Economic Integration in Africa: Lessons and Implications for the Multilateral Trading System

Timothy Masiko

International Investment Law: An Analysis of the Major Decisions

Edited by Hélène Ruiz Fabri and Edoardo Stoppioni

State Capitalism and International Investment Law

Edited by
Panagiotis Delimatsis
Georgios Dimitropoulos
and
Anastasios Gourgourinis

• H A R T •

OXFORD • LONDON • NEW YORK • NEW DELHI • SYDNEY

HART PUBLISHING

Bloomsbury Publishing Plc

Kemp House, Chawley Park, Cumnor Hill, Oxford, OX2 9PH, UK

1385 Broadway, New York, NY 10018, USA

29 Earlsfort Terrace, Dublin 2, Ireland

HART PUBLISHING, the Hart/Stag logo, BLOOMSBURY and the Diana logo are trademarks of Bloomsbury Publishing Plc

First published in Great Britain 2023

Copyright © The editors and contributors severally 2023

The editors and contributors have asserted their right under the Copyright, Designs and Patents Act 1988 to be identified as Authors of this work.

All rights reserved. No part of this publication may be reproduced or transmitted in any form or by any means, electronic or mechanical, including photocopying, recording, or any information storage or retrieval system, without prior permission in writing from the publishers.

While every care has been taken to ensure the accuracy of this work, no responsibility for loss or damage occasioned to any person acting or refraining from action as a result of any statement in it can be accepted by the authors, editors or publishers.

All UK Government legislation and other public sector information used in the work is Crown Copyright ©. All House of Lords and House of Commons information used in the work is Parliamentary Copyright ©. This information is reused under the terms of the Open Government Licence v3.0 (<http://www.nationalarchives.gov.uk/doc/open-government-licence/version/3>) except where otherwise stated.

All Eur-lex material used in the work is © European Union, <http://eur-lex.europa.eu/>, 1998–2023.

A catalogue record for this book is available from the British Library.

Library of Congress Cataloging-in-Publication data

Names: Delimatsis, Panagiotis, editor, contributor. | Dimitropoulos, Georgios, 1984- editor. | Gourgourinis, Anastasios, editor. | Al-Ahmadani, Mohammed, contributor.

Title: State capitalism and international investment law / edited by Panagiotis Delimatsis, Georgios Dimitropoulos, and Anastasios Gourgourinis ; contributors, Mohammed Al-Ahmadani [and others].

Description: Oxford ; New York : Hart Publishing, an imprint of Bloomsbury Publishing, 2023. | Series: Studies in international trade and investment law; 28 | Includes bibliographical references and index. | Summary: "This book explores how State capitalism affects and reshapes international investment law. It sheds new light on the various ways States actively influence business and commercial activity globally by using sovereign investors such as state-owned enterprises and sovereign wealth funds or pension funds. With a diverse group of contributors from a broad range of countries, the book offers a fresh and timely look into the fundamentals of State capitalism, focusing in particular on its actors and processes, the contextual elements that surround it, and the new political economy that comes with it. The book is essential reading for researchers, regulators, policy makers, and practitioners interested in the different ways State capitalism challenges and changes international investment law. As geopolitical considerations increasingly affect global economic activity, delving into the intricacies of State capitalism has never been more timely"—Provided by publisher.

Identifiers: LCCN 2022043225 | ISBN 9781509962976 (hardback) | ISBN 9781509963010 (paperback) | ISBN 9781509962990 (pdf) | ISBN 9781509962983 (Epub)

Subjects: LCSH: Investments, Foreign (International law) | Investments, Foreign—Law and legislation. | Investments—Law and legislation. | International commercial arbitration. | Capitalism.

Classification: LCC K3830 .S75 2023 | DDC 346/.092—dc23/eng/20221101

LCC record available at <https://lcn.loc.gov/2022043225>

ISBN: HB: 978-1-50996-297-6
ePDF: 978-1-50996-299-0
ePub: 978-1-50996-298-3

Typeset by Compuscript Ltd, Shannon

To find out more about our authors and books visit www.hartpublishing.co.uk. Here you will find extracts, author information, details of forthcoming events and the option to sign up for our newsletters.

Contents

<i>Contributors</i>	vii
<i>List of Abbreviations</i>	ix

<i>State Capitalism and International Investment Law – An Introduction</i>	1
Panagiotis Delimatsis, Georgios Dimitropoulos and Anastasios Gourgourinis	

PART I STATE CAPITALISM AND INTERNATIONAL ECONOMIC ORDER

1. <i>The Foundations of International Economic Order in the Age of State Capitalism</i>	17
Leonardo Borlini and Stefano Silingardi	
2. <i>State Capitalism, ‘Normal’ Capitalism and Other Capitalisms? A Discreet Place of the State in Neoliberal International Investment Law</i>	43
Josef Ostránský	
3. <i>Disciplining State Capitalism under International Economic Law: Non-Discrimination vs. Competitive Neutrality</i>	67
Rob Howse	

PART II ACTORS AND PROCESSES OF STATE CAPITALISM

4. <i>Chinese State Capitalism in the World Order: An International Law and International Relations Perspective</i>	83
Jiangyu Wang	
5. <i>Sovereign Wealth Funds and Foreign Investment Screening under International Investment Law</i>	99
Michail Dekastros	
6. <i>The Screening of Cross-Border Investments by State-Owned Enterprises under EU Law</i>	123
Konstantina Georgaki	

7. *Foreign Investment in Critical National Infrastructure (CNI) by State-Controlled Entities (SCEs) and Investment Screening Mechanisms (ISMs)* 143
Manu Misra

PART III

ADJUDICATING STATE CAPITALISM

8. *Chinese State-Owned Enterprises and International Investment Law* 161
Ming Du
9. *Due Diligence and State-Controlled Entities in the Age of State Capitalism* 185
Sebastián Mantilla Blanco
10. *Sovereign Investors and National Security Exceptions in WTO and Investment Law* 213
Panagiotis Delimatsis and Olga Hryniv
11. *International Commercial Courts in the Age of State Capitalism* 245
Georgios Dimitropoulos and Mohammed Al-Ahmadani

PART IV

CONTEXTUALISING STATE CAPITALISM

12. *State Capitalism and Global Governance under the Belt and Road Initiative* 271
Qingxiu Bu
13. *The Relevance of the Green Swan Risk: Accounting for Climate Change in the Legal Framework of Sovereign Investors* 303
Bianca Nalbandian

- Index* 327

Contributors

Mohammed Al-Ahmadani is an Associate at GBS Disputes, France.

Leonardo Borlini is an Associate Professor of International Law in the Legal Department/Centre for Applied Research on International Markets, Banking, Finance and Regulation at the University of Bocconi, Italy.

Qingxiu Bu is an Associate Professor at the University of Sussex, UK and Fellow at the Stellenbosch Institute for Advanced Study at Stellenbosch University, South Africa.

Michail Dekastros is an Associate at Sidley Austin LLP, Geneva, Switzerland.

Panagiotis Delimatsis is a Professor of Law and the Director of the Tilburg Law and Economics Center (TILEC) at Tilburg University, The Netherlands.

Georgios Dimitropoulos is an Associate Professor of Law and Associate Dean for Academic Affairs at Hamad Bin Khalifa University, Qatar.

Ming Du is a Professor of Law at Durham University, UK.

Konstantina Georgaki is a Policy Officer at the Directorate General for Financial Stability, Financial Services and Capital Markets Union (DG FISMA), European Commission, and a Lecturer in European Union Law and Constitutional Law at Mansfield College and St Catherine's College (University of Oxford), UK.

Anastasios Gourgourinis is an Assistant Professor in International Law at the National and Kapodistrian University of Athens, and a Research Fellow at the Academy of Athens, Greece.

Rob Howse is a Professor of Law at New York University, US.

Olga Hrynkiv is a PhD candidate at Tilburg University, The Netherlands.

Sebastián Mantilla Blanco is a Postdoctoral Researcher at the University of Bonn, Germany.

Manu Misra is a Postdoctoral Research Fellow at the Getúlio Vargas Foundation School of Law, Brazil.

Bianca Nalbandian is a Research Fellow at Max Planck Institute Luxembourg for International, European and Regulatory Procedural law and a PhD candidate at the Universities of Torino, Italy, and Luxembourg, Luxembourg.

Josef Ostransky is a Max Weber Fellow at the European University Institute, Italy.

Stefano Silingardi is an Assistant Professor of International Law in the Department of Italian and Supranational Public Law at the University of Milan, Italy.

Jiangyu Wang is a Professor of Law at the City University of Hong Kong, China.

List of Abbreviations

AB	Appellate Body
ACHR	American Convention on Human Rights
AD	Anti-dumping
ADGM	Abu Dhabi Global Markets
AIFC	Astana International Financial Centre
AIIB	Asian Infrastructure Investment Bank
ARSIWA	Articles on Responsibility of States for Internationally Wrongful Acts
ASCM	Agreement on Subsidies and Countervailing Measures
ASEAN	Association of Southeast Asian Nations
BIS	Bank for International Settlements
BIT	Bilateral Investment Treaty
BRI	Belt and Road Initiative
CAJAC	China-Africa Joint Arbitration Center
CAI	Comprehensive Agreement on Investment
CCCC	China Communications Construction Company International Holding Limited
CCP	Chinese Communist Party
CCP	Common Commercial Policy
CDB	China Development Bank
CPP	Canadian Pension Plan
CETA	Comprehensive Economic and Trade Agreement
CJEU	Court of Justice of the European Union
CFIUS	Committee on Foreign Investment in the United States
CICC	China International Commercial Court

CIETAC	China International Economic and Trade Arbitration Commission
CME	Coordinated Market Economy
CNI	Critical national infrastructure
CNOOK	China National Offshore Oil Corporation
CPTPP	Comprehensive and Progressive Agreement for Trans-Pacific Partnership
CSR	Corporate Social Responsibility
CVD	Countervailing Duties
DIFC	Dubai International Financial Centre
DRA	Dispute Resolution Authority
DSS	Dispute settlement system
DSU	Dispute Settlement Understanding
EC	European Community
EEC	European Economic Community
EPZ	Export Processing Zone
ESG	Environmental, Social and Governance
EU	European Union
FAB	First Abu Dhabi Bank
FINSA	Foreign Investment and National Security Act
FDI	Foreign Direct Investment
FET	Fair and Equitable Treatment
FIRRMA	Foreign Investment Risk Review Modernization Act
FPS	Full protection and security
FRB	Federal Reserve Board
FTA	Free Trade Agreement
GAAP	Generally accepted principles and practices
GATS	General Agreement on Trade in Services
GATT	General Agreement on Tariffs and Trade

GCC	Gulf Cooperation Council
GPFG	Government Pension Fund-Global
GPIF	Government Pension Investment Fund
ICSID	International Centre for Settlement of Investment Disputes
ICJ	International Court of Justice
ICommC	International Commercial Court
ICtHR	Inter-American Court of Human Rights
IEL	International Economic Law
IIA	International Investment Agreement
IIL	International Investment Law
IFSWF	International Forum of Sovereign Wealth Funds
ILA	International Law Association
ILC	International Law Commission
IMF	International Monetary Fund
IPR	Intellectual Property Right
IR	International relations
ISDS	Investor-State dispute settlement
ISM	Investment Screening Mechanism
IT	Information technology
IWG	International Working Group
KEXIM	Korean Export-Import Bank
LMEs	Liberal Market Economy
LPMO	Livestock Products Manufacturing Organization
M&A	Mergers and acquisitions
MFN	Most-Favoured Nation (principle)
MMC	Monopolies and Mergers Commission
MNC	Multi-national corporations
NAFTA	North American Free Trade Agreement
NBIM	Norges Bank Investment Management

xii *List of Abbreviations*

NCP	National Contact Point
NDRC	National Development and Reform Commission
NGO	Non-Governmental Organization
NIEO	New International Economic Order
NZPT	New Zealand Permanent Trustees Ltd
OECD	Organization for Economic Cooperation and Development
OFDI	Outward foreign direct investment
PF	Pension fund
PTA	Preferential Trade Agreement
PRC	People's Republic of China
QFC	Qatar Financial Centre
QFCRA	Regulatory Authority of the Qatar Financial Centre
QICDRC	Qatar International Court and Dispute Resolution Centre
SASAC	State Assets Supervision and Administration Commission
SCA	Suez Canal Authority
SCE	State-Controlled Entity
SDGs	Sustainable Development Goals
SEZ	Special Economic Zone
SICC	Singapore International Commercial Court
SOCB	State-owned commercial bank
SOE	State-owned enterprise
SPC	Supreme People's Court
SRI	Socially responsible investment (principles)
SWF	Sovereign Wealth Fund
TFEU	Treaty on the Functioning of the European Union
TPA	Trade Promotion Agreement
TPR	Trade Policy Review
TRIMs	Trade-related Investment Measures Agreement

TRIPs	Agreement on Trade-Related Aspects of Intellectual Property Rights
UAE	United Arab Emirates
UKEF	United Kingdom Export Finance
UK	United Kingdom
UN	United Nations
UNCTAD	United Nations Conference on Trade and Development
UNEP	United Nations Environmental Programme
UNHRC	United Nations Human Rights Council
US	United States (of America)
USTR	United States Trade Representative
VCLT	Vienna Convention on the Law of Treaties
WTO	World Trade Organization

State Capitalism and International Investment Law – An Introduction

PANAGIOTIS DELIMATSI, GEORGIOS DIMITROPOULOS
AND ANASTASIOS GOURGOURINIS

I. INTRODUCTION

INTERNATIONAL ECONOMIC LAW (IEL) and international investment law (IIL) were shaped as separate disciplines in the era of the dominance of the system of market capitalism. Both serve the freedom of movement of capital. The prevalence of the market and the retreat of the government in international economic law assume an ideology that may be described as capitalist or liberal. This is not of course an ideology that all states participating in the international economic system would necessarily subscribe to. But the implied ideological dominance of the system of market capitalism, as well as the trust in the system, has since been receding. The ‘backlash’ against international investment law is now commonplace and a symptom of the overall loss in faith in the institutions of global capitalism.¹ The backlash-related discussion in international investment law has been very productively transformed into a reform debate.² The backlash against, as well as the willingness to reform IIL has been expressed

¹ See M Waibel et al. (eds), *The Backlash Against Investment Arbitration. Perceptions and Reality* (Zuidpoolingel, Kluwer Law International, 2010); M Langford, D Behn and OK Fauchald, ‘Backlash and State Strategies in International Investment Law’, in T Aalberts and T Gammeltoft-Hansen (eds), *The Changing Practices of International Law* (Cambridge, CUP, 2018) 70. This backlash derives from mounting tension in recent years due mostly to certain historical path-dependencies in the field; see generally G Dimitropoulos, ‘The Conditions for Reform: A Typology of “Backlash” and Lessons for Reform in International Investment Law and Arbitration’ (2019) 18 *The Law and Practice of International Courts and Tribunals* 413.

² The reform discussion process is prominently taking place within Working Group III (WGIII): Investor-State Dispute Settlement Reform of the United Nations Commission on International Trade Law (UNCITRAL), the workings of which are made available online at: www.uncitral.org/uncitral/en/commission/working_groups/3Investor_State.html (accessed 1 August 2019). On the academic side, the Academic Forum on ISDS has the purpose of providing a venue for academics to exchange views, explore issues and options, test ideas and solutions, and hopefully make a constructive contribution to the ongoing discussions on possible reform of ISDS, in particular to discussions in the context of UNCITRAL’s WGIII; see Academic Forum on ISDS, *Statement of Purpose* (CIDS – Geneva Center for International Dispute Settlement, 12 March 2018), www.cids.ch/images/Documents/ISDS-AcademicForum/Academic_Forum_ISDS_Statement_of_Purpose.pdf.

by governments and other stakeholders in both the Southern and the Northern hemispheres.³

IIL has also been exposed to a different type of challenge by an ideologically opposing paradigm of ‘state capitalism’.⁴ State capitalism has been labelled as ‘one of the most politicized and sensitive developments in the international investment regime’.⁵ State capitalism is reshaping the foundations of IEL and the protection of Sovereign Investments, under International Investment Agreements (IIAs), and may potentially pose challenges to the system of investor-state dispute settlement (ISDS). State capitalism attempts to redefine the relationship between the state and the market suggesting a new political economy of IIL – and IEL, broadly speaking. Sovereigns increasingly operate in the international economic order via domestic institutions such as state-Owned Enterprises (SOEs)⁶ and Sovereign Wealth Funds (SWFs),⁷ hence reshaping IEL

³ See WM Reisman, ‘The Empire Strikes Back: The Struggle to Reshape ISDS’, White and Case International Arbitration Lecture (The Lamm Lecture) (February 16, 2017), ssrn.com/abstract=2943514. Professor Reisman suggests that in large part the reaction against the ‘Great Compact’ of the contemporary international investment system has been spearheaded by the originally capital-exporting countries that have now found themselves also at the capital-importing end.

⁴ I Bremmer, ‘State Capitalism Comes of Age: The End of the Free Market’ (2009) 88 *Foreign Affairs* 40; N Ferguson, ‘We’re All State Capitalists Now’ (2012) 9 *Foreign Policy*; L-Wen Lin and C.J. Milhaupt, ‘We are the (National) Champions: Understanding the Mechanisms of State Capitalism in China’ (2013) 65 *Stanford Law Review* 697; M Du, ‘China’s State Capitalism and World Trade Law’ (2014) 63 *ICLQ* 409.

⁵ LNS Poulsen, ‘Investment treaties and the globalisation of state capitalism: opportunities and constraints for host states’, in R Ehandi and P Sauve (eds), *Prospects in International Investment Law and Policy* (Cambridge, CUP, 2013) 73, 90.

⁶ On SOEs, see, among many, K Haywood, The Treatment of State Enterprises in the WTO and Plurilateral Trade Agreements, Commonwealth Secretariat Emerging Issues Briefing Note (March 2016), available at thecommonwealth.org/sites/default/files/inline/StateOwned%20EnterprisesTPP1008.pdf; M Feldman, ‘State-Owned Enterprises as Claimants in International Investment Arbitration’ (2016) 31 *ICSID Review* 24; Y Shima, ‘The Policy Landscape for International Investment by Government-controlled Investors: A Fact Finding Survey’, OECD Working Papers on International Investment, 2015/01 (2015), available at dx.doi.org/10.1787/5js7svp0jkns-en; I Willemyns, ‘Disciplines on State-Owned Enterprises in International Economic Law: Are We Moving in the Right Direction?’ (2016) 19 *Journal of International Economic Law* 657; J Ya Qin, ‘WTO Regulation of Subsidies to State-Owned Enterprises (Soes) – a Critical Appraisal of the China Accession Protocol’ [2004] *Journal of International Economic Law* 863; J Nakagawa, ‘The Emerging Rules on State Capitalism and their Implications for China’s Use of SOEs’, in L Toohey, C Picker and J Greenacre (eds), *China in the International Economic Order: New Directions and Changing Paradigms* (Cambridge, CUP, 2015) 112; J Chaisse, ‘Untangling the Triangle: Issues for State-Controlled Entities in Trade, Investment and Competition Law’, in J Chaisse and T-y Lin (eds), *International Economic Law and Governance: Essays in Honour of Mitsuo Matsushita* (Oxford, OUP, 2016) 233.

⁷ On SWFs, see the Generally Accepted Principles and Practices (Santiago Principles), International Working Group of Sovereign Wealth Funds (October 2008), available at www.ifswf.org/sites/default/files/santiagoprinciples_0_0.pdf; IMF, Sovereign Wealth Funds, available at www.imf.org/external/pubs/ft/gfsr/2007/02/pdf/annex12.pdf; M Burgstaller, ‘Sovereign Wealth Funds and International Investment Law’, in C Brown and K Miles (eds), *Evolution in Investment Treaty Law and Arbitration* (Cambridge, CUP, 2011) 163–186; J Wang, ‘State Capitalism and Sovereign Wealth Funds: Finding a “Soft” Location in International Economic Law’, in CL Lim (ed), *Alternative Visions of the International Law on Foreign Investment: Essays in Honour of Muthucumaraswamy Sornarajah* (Cambridge, CUP, 2016), 405; F Bassan (ed), *Research Handbook on Sovereign Wealth Funds and International Investment Law* (Cheltenham, Elgar, 2015); G Kratsas and J Truby,

in a bottom-up way. While the institutions of state capitalism are in the process of redefining the relationship between the state and the market, a different question persists: is the current system of international investment law positively, negatively or neutrally predisposed towards state capitalism and its institutions?

II. PLURALISING THE INTERNATIONAL INVESTMENT REGIME

IIL has been developed in the second half of the twentieth century as colonial law was being replaced by the domestic laws of the newly emerging independent states. IIL was part of the new liberal world order that was in the process of being developed in the post-World War II era. The liberal world order assumed that capital would flow from private investors of the North and West into the developing countries of the South and East; it also assumed that the economies of the South and East would transition towards the market economy system and privatise government-owned assets and enterprises to private investors of the North and West. However, a paradigm shift is observed in recent times. This archetypical understanding underpinning the foundations of IIL is no longer in place. New actors, as well as different ways of mobilising capital emerged in the global economy.

A. Actors

State capitalism is based on a relatively different economic paradigm in comparison to what is assumed by IEL. State capitalism appears in high-income economies and developing economies alike.⁸ One may argue that IEL assumes the market as the driving force of liberalisation, whereby the state holds the backseat.⁹ Nevertheless, this conception does not go unchallenged. According to Josef Ostránský, state capitalism in IIL is a story of (re)organisations and transformations of the world economy, since modern IIL has always been state capitalist. In this vein, distinguishing between ‘normal’ or ‘liberal’ capitalism and the ‘new’ state capitalism may be misleading. IIL has developed in the twentieth century as a facet of the internationalisation, legalisation and judicialisation of economic relations. Indeed, the intellectual history of IIL, critical

‘Regulating Sovereign Wealth Funds to Avoid Investment Protectionism’ [2015] *Journal of Financial Regulation* 95; W Yin, ‘Regulating the State Capitalism: Is There an Optimal Regulatory Model for Sovereign Wealth Fund Investment?’ (2020) 54(1) *Journal of World Trade* 155.

⁸ K Kim, ‘Locating new ‘state capitalism’ in advanced economies: an international comparison of government ownership in economic entities’ (2021) 28(3) *Contemporary Politics* 285.

⁹ See generally D Rodrik, *Straight Talk on Trade: Ideas for a Sane World Economy* (New Jersey, Princeton University Press, 2018); G Shaffer, ‘How Do We Get Along? International Economic Law and the Nation-State’ (2019) 117 *Michigan Law Review* 1229. See also P Muchlinski, *Multinational Enterprises and the Law*, 3rd edn (Oxford, OUP, 2021) for the well-known comprehensive account of the instruments used to regulation MNEs at the national, regional and multilateral levels.

state theory, and global political economy, all reveal how and why the state has always been the main driving actor and factor for the growth of IIL as a neoliberal form of capitalism.¹⁰

China is the most striking example, but not the only one. The BRICS countries (Brazil, Russia, India, China, and South Africa), for example, have developed in very different ways from other developing nations, and sometimes are also closer when it comes to their foreign and international economic policy to northern and western countries. Moreover, the South and East of the world is currently in a direct competitive relationship to the West and North of the world when it comes to investment opportunities and the promotion of their own interests abroad,¹¹ be it in other countries in the South and East, or the West and North. Countries in the South, such as Brazil, are now on the outward side of investment, and interested in protecting their investors doing business abroad. States in the Gulf Region and other emerging markets such as Vietnam are competing on both the inward and the outward side of investment. The world economic order of the twenty-first century is now being reshaped based on the new premises of polycentricity and pluralism: the emerging markets of the South and East are not only recipients, but also exporters of capital; global capital exportation is streamlined both towards the southern and the northern hemisphere; foreign investment is not solely based on private capital, but also on public money invested by institutional investors, such as pension funds, SWFs, national oil companies (NOCs) and various other types of SOEs or State-Controlled Entities (SCEs).

As argued by Leonardo Borlini and Stefano Silingardi in this volume, the regulation of SOEs in international investment law and international trade law appears to be inarticulate and unbalanced; ergo, no concrete answers are provided to key normative questions pertaining, for instance, to the coverage of SOEs under IIAs; national security carve-outs; Article XVII of the General Agreement on Tariffs and Trade (GATT 1994) and subsidies disciplines. As a result, the commercial and political challenges posed threaten the balance between liberal market and institutional innovation.¹²

The overall strategies of capital accumulation and mobilisation are different. National policies, such as the Belt and Road Initiative (BRI) and China's Go Global strategy, give rise to even more complex issues when it is state enterprises that are given incentives to invest overseas. Chinese state capitalism is indeed the par excellence case study of tensions to the liberal international economic order.¹³ Qingxiu Bu traces the main rationale underlying the BRI

¹⁰ See ch 2, in this volume. For a class analysis of state capitalism, see N Sperber, 'Servants of the state or masters of capital? Thinking through the class implications of state-owned capital' (2021) 28(3) *Contemporary Politics* 264.

¹¹ This is particularly the case in Asian countries; see Asian Development Bank, *Asia 2050: Realizing the Asian Century* (2011), www.adb.org/publications/asia-2050-realizing-asian-century, 1.

¹² See ch 1, in this volume.

¹³ For a historical perspective regarding the emergence of state capitalism in China, see the contributions in B Naughton and K Tsai (eds), *State Capitalism, Institutional Adaptation and the*

in China's overcapacity and cautions that international standards of transparency and equal opportunity go hand-in-hand with effective global governance.¹⁴ Ming Du explains how reforms in China since 1992 aimed at balancing between ensuring the market competitive capacity of SOEs and the maintenance of then Chinese Communist Party (CCP) control over them.¹⁵ Jiangyu Wang analyses the actors, rules and processes of state capitalism in China and discusses whether Chinese state capitalism goes against the letter and spirit of IEL; whether effective rules for SOEs are in place under IEL; and whether the operation of Chinese state capitalism prevents the establishment of such rules. He emphasises the lack of international regulation of state capitalism and argues that the future development of China's state capitalism model will determine whether it undermines the liberal world order.¹⁶ In this context, Ming Du also explains how Chinese SOEs have access as claimants in ISDS under both the so-called Broches test and customary international law on attribution for the purposes of international responsibility.¹⁷

State capitalism may also be about establishing higher standards of conduct for its actors. The chapter authored by Sebastián Mantilla Blanco in this volume addresses the due diligence standards of conduct pertinent for SCEs. It first distinguishes between due diligence of SCEs and due diligence duties of states in respect of activities of their – owned or controlled – SCEs. The analysis then turns to soft law and hard law corporate social responsibility (CSR) instruments and their impact on the adjudication of investment claims involving SCEs. Indeed, the assessment of SCE's due diligence may pose challenges (compared to private operators), substantive investment protection standards, as is evidenced by a discussion regarding illegality objections or claims for violation of substantive investment protections such as full protection and security (FPS) and fair and equitable treatment (FET).¹⁸ In a similar vein, Bianca Nalbandian's chapter situates sovereign investors vis-à-vis the risks of occurrence of financially disruptive events caused by climate change ('green swan risks'). She concludes that fiduciary duty theories, in the context of trust law schemes and

Chinese Miracle (Cambridge, CUP, 2015), identifying the roots of a well-thought set of institutional design. For an institutional analysis, see BL Liebman and CJ Milhaup (eds), *Regulating the Visible Hand?: The Institutional Implications of Chinese State Capitalism* (Oxford, OUP, 2015). Furthermore, see the contributions taking stock of an integration process that allowed China to gradually integrate the international economic order, covering trade, financial and monetary aspects, competition and intellectual property, in L Toohey, CB Picker and J Greenacre (eds), *China in the International Economic Order* (Cambridge, CUP, 2015).

¹⁴ See ch 12, in this volume.

¹⁵ See ch 8, in this volume. See also J Kurlantzick, *State Capitalism – How the Return of Statism in Transforming the World* (Oxford, OUP, 2016) for a political economy perspective of the global shift towards state capitalism in several countries, including China.

¹⁶ See ch 4, in this volume.

¹⁷ See ch 8, in this volume. cf J Chaisse, 'State Capitalism on the Ascent: Stress, Shock, and Adaptation of the International Law on Foreign Investment' [2018] *Minnesota Journal of International Law* 342, 386; B Nalbandian, 'State Capitalists as Claimants in International Investor-State arbitration' (2021) 81 *QIL Zoom-out* 7.

¹⁸ See ch 9, in this volume.

public pension funds which encompass a duty of care and a duty of loyalty, long-term investment mandates and self-regulatory frameworks, such as the Santiago Principles and the One Planet Summit Initiative, are only moderately effective in tackling sustainability issues.¹⁹

B. Layers

Before being transferred onto the international realm, state capitalism was created domestically. State capitalism has a long history in domestic politics, but found an expression in actual practice with the opening up of China. State capitalism in the sphere of international investment law has taken shape through the active involvement of China in the international economic system. State capitalism became a domestic ideological-political-legal paradigm, and was then transferred onto the international plane. It has accordingly developed a domestic layer, an international layer, and middle layers with different mixes of domestic/international and capitalist/paternalistic features.

i. The International Layer

Under the international investment law system that was developed in the twentieth century, there are no general international obligations for market access to foreign investors, and no general obligation to admit foreign investments into the economy of a state. The typical BIT does not grant a right of admission to the potential host state market to a foreign investor, or any other type of pre-entry protection for foreign investment. According to Article 2(1) of the Model BIT of Germany (2008), for example:²⁰

Each Contracting Party shall in its territory promote as far as possible investments by investors of the other Contracting State and admit such investments *in accordance with its legislation* (emphasis added)

Indeed, IIAs typically defer admission and establishment to the requirements of the host state's legislation on market access.²¹ Accordingly, it is generally up to domestic law and institutions to decide whether a foreign investment and investor should be admitted to the domestic market in the first place, as well as the appropriate mechanisms for control of foreign investment. Nevertheless, there are some IIAs which grant market access to prospective investors. They generally grant a right of admission, which is limited in scope, and is usually based

¹⁹ See ch 13, in this volume.

²⁰ See also UK Model BIT (2005, 2006) art 2(1).

²¹ R Dolzer, U Kriebaum and C Schreuer, *Principles of International Investment Law*, 3rd edn (Oxford, OUP, 2022) 132–145.

on a national treatment clause.²² In this vein, Michail Dekastros demonstrates why it is necessary to always distinguish between ‘Limited Entry’ BITs (where host states undertake best efforts obligations to promote investments, but do not guarantee admission) and ‘Liberalisation’ BITs (which do provide pre-establishment rights) when analysing market access for state capitalists.²³

The rights for sovereign investors under IIAs are also combined with treaty-based exceptions designed to safeguard national security interests of host states of sovereign investments. At the same time, national security carveouts hold a noticeable place in the multilateral trade regime, governed primarily by Article XXI GATT, Article XIV^{bis} of the General Agreement on Trade in Services (GATS), and Article 73 of the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPs Agreement). In this context, and given the organic links between trade and investment, Panagiotis Delimatsis and Olga Hryniv in their chapter in this volume engage in a thorough analysis of trade and investment case law and argue that cross-fertilisation between trade and investment adjudicators could foster the coherent application of security exceptions under both regimes in cases involving sovereign investors.²⁴

ii. The Domestic Layer

IEL, and IIL more specifically, has entered a new era of unilateralism.²⁵ There are multiple types of economic unilateralism that stand in a continuum between unilateral liberalisation of trade and investment as in the classical trade era, and ‘aggressive unilateralism’ on the other.²⁶ National security unilateralism is on the rise. Under the foreign trade policy of the Trump administration, the world witnessed a new era of ‘trade wars’,²⁷ discussed in terms of unilateralism as

²² A good example is Art 3(1) of the US Model BIT of 2004: ‘Each Party shall accord to investors of the other Party treatment no less favorable than that it accords, in like circumstances, to its own investors with respect to the establishment, expansion, management, conduct, operation, and sale or other disposition of investments in its territory’. Also, see C Annacker, ‘Protection and Admission of Sovereign Investment under Investment Treaties’ (2011) 10(3) *Chinese Journal of International Law* 531, 546–550.

²³ See ch 5, in this volume.

²⁴ See ch 10, in this volume.

²⁵ See J Chaisse and G Dimitropoulos, ‘SEZs in International Economic Law: Towards Unilateral Economic Law’ (2021) 24(2) *Journal of International Economic Law* 229, where the authors identify four types of unilateralism: Classical unilateralism; Embedded unilateralism; Environmental unilateralism; and National Security unilateralism.

²⁶ See also for this differentiation J Bhagwati, ‘Introduction: The Unilateral Freeing of Trade versus Reciprocity’, in J Bhagwati (ed), *Going Alone: The Case for Relaxed Reciprocity in Freeing Trade* (Cambridge, MA, MIT Press, 2002).

²⁷ See generally A van Aaken, CP Bown and A Lang, ‘Special Issue: Trade Wars’ (2019) 22 *Journal of International Economic Law* 4. According to one account, ‘[a] trade war is when a nation imposes tariffs or quotas on imports and foreign countries retaliate with similar forms of trade protectionism’; see K Amadeo, ‘Trade Wars and Their Effect on the Economy and You: Why trade wars are bad and nobody wins’, *The Balance*, www.thebalance.com/trade-wars-definition-how-it-affects-you-4159973.

well, and referred to as ‘Trump unilateralism’.²⁸ The justification for this type of unilateralism was the protection of national security interests of the US.²⁹ Similarly, a number of states have developed doctrines largely (and explicitly) shaped by national security unilateralism.³⁰ China’s BRI is also fundamentally driven by national security motives since China is developing this strategy, in part, to address potential external threats.³¹

In the current phase of intense political and economic contestation of the BIT system and, more specifically, international investment arbitration, countries have started placing regulatory emphasis on the investment pre-entry stage. This has led to an explosion of domestic investment laws. Depending on the political preferences as well as the economic needs of countries, different types of domestic legislative frameworks have been developed. Certain frameworks are meant to attract state capital. Investment promotion laws are mostly to be found in the South and East. A great number of countries are now introducing restrictions on FDI. The most common FDI restrictive legislative and regulatory frameworks are: (a) foreign equity limitations; (b) investment screening mechanisms (ISMs); (c) restrictions on the employment of foreigners as key personnel; (d) operational restrictions, eg restrictions on branching, capital repatriation or land ownership.³² ISMs, in particular, are on the rise.³³

While screening mechanisms have existed since the 1970s, there has been a tendency to create new or tighten existing ones.³⁴ Screening is almost always based on national security grounds, either as the primary factor or as one among others, and invariably the most prominent one. Third-state control is one of the key factors of the 2019 European Union (EU) FDI Screening

²⁸ See generally HH Koh, ‘Trump Change: Unilateralism and the “Disruption Myth” in International Trade: Epilogue to the Yale Symposium on Trade Law Under the Trump Administration’ (2019) 44 *Yale Journal of International Law Online* 96; MJ Baltz, ‘What lies beneath the ‘tariff man’? The Trump administration’s response to China’s ‘state capitalism’ (2022) 28(3) *Contemporary Politics* 328.

²⁹ See generally A Roberts, HC Moraes and V Ferguson, ‘Toward a Geoeconomic Order’ (2019) 22(4) *Journal of International Economic Law* 655. See also for the view of a leading figure of the Trump administration, RE Lighthizer, ‘Trump’s Trade Policy Is Making America Stronger’, (2020) 99(4) *Foreign Affairs*, www.foreignaffairs.com/articles/china/2020-07-20/trumps-trade-policy-making-america-stronger.

³⁰ See, eg, UK Department for Business, Energy and Industrial Strategy, ‘National Security and Infrastructure Investment Review (Green Paper)’ (2017), assets.publishing.service.gov.uk/government/uploads/system/uploads/attachment_data/file/652505/2017_10_16_NSII_Green_Paper_final.pdf.

³¹ See J Slawotsky, ‘The National Security Exception in US-China FDI and Trade: Lessons from Delaware Corporate Law’ (2018) 6(2) *The Chinese Journal of Comparative Law*.

³² See OECD, FDI Regulatory Restrictiveness Index, www.oecd.org/investment/fdiindex.htm.

³³ According to UNCTAD, 24 countries have ISMs. These are Australia, Austria, Belgium, Canada, China, Finland, France, Germany, Hungary, Iceland, India, Italy, Japan, Latvia, Lithuania, Mexico, New Zealand, Norway, Poland, the Republic of Korea, the Russian Federation, South Africa, the UK and the US: UNCTAD, Investment Policy Monitor No 22: Special Issue – National security-related screening mechanisms for foreign investment an analysis of recent policy developments, unctad.org/system/files/official-document/diaepcbinf2019d7_en.pdf, 92–93.

³⁴ See generally G Dimitropoulos, ‘National Security: The Role of Investment Screening Mechanisms’, in J Chaisse, L Choukroune and S Jusoh (eds), *Handbook of International Investment Law and Policy – Volume I* (Singapore, Springer, 2020) 507.

Regulation analysed in this volume by Konstantina Georgaki. As the author explains, the FDI Screening Regulation covers extra-EU (foreign direct and portfolio) investment and intra-EU (direct and portfolio) investments, and while it is ownership-neutral, its adoption was rather the response to the proliferation of sovereign investments and the security concerns they may pose.³⁵

According to UNCTAD there are three main types of ISMs: sector-specific, cross-sectoral, and entity-specific.³⁶ The first category of mechanisms focuses on sectors such as utilities, energy, telecommunication, transportation, media and financial industries that are viewed as important for national security purposes.³⁷ The second category of cross-sectoral legislation allows for screening in all sectors.³⁸ Legislation of the third category focuses on the destination of the investment, rather than the investor as the screening mechanisms of the previous two categories do. These legislative frameworks single out domestic companies, usually state-owned and operating in sectors that are perceived as sensitive from a national security point of view, and allow for the review of foreign acquisitions for these entities.

Manu Misra's chapter focuses on foreign investments in critical infrastructure and argues that the relevant ISMs may be conceptually understood as a reflection of the lack of trust in international relations theory. Contrary to conventional wisdom, Manu Misra explains why ISMs are expressive of legitimate concerns over technology-related security risks and have minimal impact on FDI flows. The function of ISMs is essentially an executive political one, since they are all about trust towards the SCE and its home state, especially in the case of critical infrastructure projects.³⁹

ISMs could also *prima facie* be at odds with the pre-establishment commitments undertaken in 'Liberalisation BITs'. As Michail Dekastros argues, it is only the specific regulatory concerns regarding government ownership of SWFs and respective host states' national security issues that distinguish SWFs from non-sovereign investors. He analyses how and why host states have provided regulatory responses to the proliferation of SWFs' investments, mainly via the establishment of ISMs and posits that ISMs could violate admission rights under specific type BITs.⁴⁰

³⁵ See ch 6, in this volume.

³⁶ UNCTAD, Investment Policy Monitor No 22: Special Issue – National security-related screening mechanisms for foreign investment an analysis of recent policy developments, unctad.org/system/files/official-document/diaepcbinf2019d7_en.pdf, 93.

³⁷ Under the new Investment Law No 1 of 2019 of Qatar, for example, which applies exclusively to foreign investors, foreign investors are prohibited from investing in banks and insurance companies unless the Council of Ministers allows such an investment. Article 4(a) Investment Law No 1 of 2019 'Regulating the Investment of Non-Qatari Capital in Economic Activity'.

³⁸ The Committee on Foreign Investment in the US process is a characteristic example of such a legislative framework.

³⁹ See ch 7, in this volume.

⁴⁰ See ch 5, in this volume.

iii. The New Intermediate Layer(s)

A new layer that has been brought to the surface in the era of state capitalism is that of the use of domestic institutions for the purposes of promoting international investment. The most characteristic of these institutions are Special Economic Zones (SEZs) and International Commercial Courts (ICommCs).

SEZs represent a new compromise between the state and the market. While SEZs may be viewed as promoters of trade and investment liberalisation, they only allow this within the confines of a limited jurisdiction and under the strict supervision of powerful government agencies for a given period of time.⁴¹ SEZs rely on proactive government intervention.⁴² They are almost invariably governed by very powerful government entities, which are separate from ordinary domestic agencies. These may have different degrees of independence from the central and local government, and enjoy different degrees of powers reaching from construction and operation to regulation in the SEZ.

ICommCs, such as the Abu Dhabi Global Markets (ADGM) Courts and the Singapore International Commercial Court (SICC),⁴³ are intermediate institutions of state capitalism, closely intertwined with seminal projects of the latter, such as SEZs and the BRI. As explained by Georgios Dimitropoulos and Mohammed Al-Ahmadani, ICommCs can operate without *domestic* institutional complementarities, but have the potential of establishing international institutional complementarities; they can also eventually accommodate claims against SOEs themselves. ICommCs, as institutions of a new variety of state capitalism, appear thus bound to proliferate and interconnect.⁴⁴

III. IS STATE CAPITALISM AN OXYMORON?

Are the two worlds of state and capitalism compatible? Is state capitalism an oxymoron? The same question was raised some time ago when policymakers in the UK, US and elsewhere, influenced by the insights of cognitive psychology and behavioural economics, started developing regulatory responses that go

⁴¹ See generally on SEZs, J Chaisse and X Ji, 'The Pervasive Problem of SEZs for International Economic Law: Tax, Investment, and Trade Issues' (2020) 19 (4) *World Trade Review* 567; DZ Zeng, 'The Past, Present, and Future of Special Economic Zones and Their Impact' (2021) 24 (2) *Journal of International Economic Law* 259.

⁴² According to Ginsburg, 'Paradoxically, [...] SEZs may be most effective in an environment in which a strong central government is seeking to gather information about the policy effects of liberalization'; T Ginsburg, 'Special Economic Zones: A Constitutional Political Economy Perspective', in J Basedow and T Kono (eds), *Special Economic Zones: Law and Policy Perspectives* (Tuebingen, Mohr Siebeck, 2015) 119, 127.

⁴³ Generally on ICommCs, see G Dimitropoulos, 'The Design of International Commercial Courts: From Organizational Hybridity to Functional Interoperability', in S Brekoulakis and G Dimitropoulos (eds), *International Commercial Courts: The Future of Transnational Adjudication* (Cambridge, CUP, 2022) 251.

⁴⁴ See ch 11, in this volume.

beyond traditional command-and-control interventions and incentives. Policy makers, instead, identify cognitive biases that humans are subject to in order to propose appropriate responses by the regulator.⁴⁵ The response is usually a ‘nudge’,⁴⁶ that is, a light form of regulatory control which purports to maintain people’s freedom of choice; examples of nudges are disclosure of better, different, smart or more information, warnings, debiasing through procedural and substantive law and, above all, altering legal default rules.⁴⁷ Nudges are thus opposed to both command-and-control regulation and incentives: the desired behaviour is not induced with the use of financial prompts.

The combination of the need for regulation with the preservation of freedom of choice has been described as ‘libertarian paternalism’ as the political philosophy of nudging. Libertarian paternalism is ‘an approach that preserves freedom of choice but that authorizes both private and public institutions to steer people in directions that will promote their welfare’.⁴⁸ Libertarian paternalism justifies legal interventions that both increase individuals’ economic welfare by freeing them from the limitations of their cognitive biases, and second, change individuals’ behaviour without limiting their choices. Libertarian paternalism is the result of the marriage of choice preservation and regulation.⁴⁹

Whether state capitalism is viewed as an oxymoron depends on one’s view of the relationship between the state and the market in the international economic regime. The interplay between market and the state may be seen as what has shaped the modern political economy more than any other concept. In the international plane, the power of the state is expressed in the concept of sovereignty. The balance between the state and the market has oscillated between the two poles post-WWII, and in the years leading up to the dominance of the market until the financial crisis. The two main post-war milestones in the shaping of this relationship have been the efforts to establish a New International Economic Order (NIEO) and the Washington Consensus.⁵⁰

⁴⁵ CR Sunstein, C Jolls and RH Thaler, ‘A Behavioral Approach to Law and Economics’ (1998) 50 *Stanford Law Review* 1471; R Korobkin and TS Ulen, ‘Law and Behavioral Science: Removing the Rationality Assumption from Law and Economics’ (2000) 88 *California Law Review* 1051; A Alemanno and A-L Sibony (eds), *Nudge and the Law: a European Perspective* (Oxford, Hart Publishing, 2015).

⁴⁶ RH Thaler and CR Sunstein, *Nudge: Improving Decisions About Health, Wealth, and Happiness* (New Haven, Yale University press, 2008); CR Sunstein, *Why Nudge: The Politics of Libertarian Paternalism* (New Haven, Yale University Press, 2014).

⁴⁷ See, eg, C Jolls, and CR Sunstein, ‘Debiasing through Law’ (2006) 35 *Journal of Legal Studies* 199.

⁴⁸ CR Sunstein and RH Thaler, ‘Libertarian Paternalism Is Not an Oxymoron’ (2003) 70 *Chicago Law Review* 1159.

⁴⁹ G Mitchell, ‘Libertarian Paternalism Is An Oxymoron’ (2005) 99 *Northwestern University Law Review* 1245.

⁵⁰ UN General Assembly Resolution 3201(S-VI) Declaration on the Establishment of a New International Economic Order (1 May 1974). On the NIEO, see among many, RW Cox, ‘Ideologies and the New International Economic Order: reflections on some recent literature’ (1979) 33(2) *International Organization* 257; A Anghie, *Imperialism, Sovereignty and the Making of International Law* (Cambridge, CUP, 2012) 208–211.

In a similar vein, one may question whether the inclusion of provisions on competitive neutrality in international trade and investment agreements is necessary and/or advisable. Focusing on flawed attempts to incorporate competitive neutrality in regional trade agreements, such as the US – Mexico – Canada Agreement (USMCA) and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP), Rob Howse traces ideological bias against state enterprises and cautions against such an approach; the author also emphasises the need to properly apply the principle of non-discrimination to tackle protectionist practices.⁵¹

IV. CONCLUSION

The variety of actors and the multicentricity prompted in new international investment law because of state capitalism has led to the development of new layers in the international investment regime. Domestic law started being relevant again more recently with the rise of investment control mechanisms. Mostly countries in the West have developed ISMs to control inward investment flows from countries in the South and East, while countries from certain regions have already had a longstanding tradition of controlling foreign investment flows. At the same time, SOEs have drawn attention not only because of China's policy as a global actor, but also because of their role to boost financial recovery after the global Covid-19 pandemic.⁵²

The relationship between the state and the market has not been constant in the years of the recent development of IIL. The rise of new powers and actors gave rise to a certain contestation of the old equilibrium. State capitalism tried to redefine this. This led to the development of new institutions at the international and the domestic level of governance. Hence, state capitalism is not an oxymoron. It does not radically change the foundations and structures of international investment law. It is an effort to redefine the relationship between the market and the state. Against this backdrop, the present edited volume offers a fresh and timely look into the fundamentals of state capitalism, focusing in particular on its actors and processes, the contextual elements that surround it and the new political economy that comes with it. Contributions in this volume engage with the conceptual analysis offered in this introduction to reflect on the status and evolution of the actors of state capitalism and reflect on the scope and adequacy of the existing international legal order to harness potential distortions and unfair practices at the political and market level.

It is in this spirit that focus should be had on state capitalism as a form of recalibration of IEL and IIL that takes into account the needs of a market

⁵¹ See ch 3, in this volume.

⁵² *cf* B van Apeldoorn and N de Graaff, 'The state in global capitalism before and after the Covid-19 crisis' (2022) 28(3) *Contemporary Politics* 306.

economy and the role that the state is bound to play to pursue non-economic objectives. Ergo, the new law and political economy framework of IIL is one that is pushed more towards the state without abandoning the market framework, in which economic activity takes place. The new political economy of IIL is more deferential to the state. In addition, the new political economy is more plural; it adds new actors and new layers into the overall structure of the international investment regime.

Part I

State Capitalism and International Economic Order

The Foundations of International Economic Order in the Age of State Capitalism

LEONARDO BORLINI AND STEFANO SILINGARDI*

I. INTRODUCTION

ANDREAS LOWENFELD BEGAN his landmarking publication *International Economic Law* by asking ‘whether there is such a thing as international economic law [IEL], a body of law that can be subjected to systematic treatment between the covers of a book’.¹ In fact, as he promptly observed,

international conventions, collaborative arrangements, roughly uniform national laws, and customary laws apply to much of the international economy; while (...) the system of remedies does not reach as far as the system of rules, there are a surprising number of consequences of deviant behavior, and a growing number of *fora* for resolving disputes among states and between states and private participants in the international economy.²

Thus, rather than a lack of materials, the main problem in undertaking a systemic analysis of such a subject is ‘how to make a selection, and – more ambitious – how to link the apparently diverse topics with some general concepts that serve to explain, guide, limit, and predict the development of an international economic law’.³

* The present article was conceived and written together. However, sections 1, 2, and 4 were written by Leonardo Borlini, and section 3 by Stefano Silingardi.

¹ AF Lowenfeld, *International Economic Law Oxford*, 2nd edn (Oxford, OUP, 2012) v.

² *ibid.* T Cottier, ‘Linking the Traits of International Economic Law’ (2022) 23 *Journal of World Investment and Trade (JWIT)* 1, has very recently revitalised the discussion on the opportunity of providing IEL’s different segments with more systemic connections.

³ Lowenfeld (n 1) v.

In the following decades, IEL has proved to be one of the fastest growing areas of international law. Different traits of international economic law have developed in isolation and fragmentation, at different speeds and different layers of governance.⁴ Thousands of agreements, mostly in the form of regional, bilateral or other preferential trade agreements, investment contracts, and bilateral investment treaties have been signed. Furthermore, there has been an exponential growth in the number of disputes being resolved by investment arbitration tribunals and the WTO dispute settlement system.⁵ Besides, the quest for international financial regulation has increasingly captivated economists and legal scholars,⁶ and financial law (eg, rules on capital requirements for banks, rules for trading derivatives and securities or resolution mechanisms for institutions that fail) has moved to a more central place in international regulatory discussions alongside traditional topics such as trade, direct investment, and monetary exchange.⁷ New (and predominantly non-binding) international norms and institutional mechanisms have contributed to structure and legitimate new forms of authority with the task of securing international financial stability.⁸ As a result, IEL appears today as a complex regulatory framework ‘flowing from different sources of law governing international economic relations and transboundary economic conduct by States, international organizations, and private actors’.⁹

⁴ And this will be arguably the trend in the future. Along these lines, Cottier (n 2) 7 argues: ‘International economic law will continue to grow incrementally, commensurate with transnational regulatory needs. It cannot develop the aspiration of a top down, comprehensive and fully consistent legal order.’

⁵ Suffice it here to refer to the caselaw reported by sectoral advanced textbooks, such as, for example, M Matsushita, TJ Schoenbaum, PC Mavroidis and M Hahn, *The World Trade Organization: Law, Practice and Policy*, 3rd edn (Oxford, OUP, 2015); JHB Pauwelyn, A Guzman, and JA Hillman, *International Trade Law*, 3rd edn (Aspen Publishing, 2016); and P Van der Bossche and W Zdouc, *The Law and Policy of the World Trade Organization Text, Cases, and Materials*, 5th edn (Cambridge, CUP, 2021) for international trade disputes; and JW Salacuse, *The Law of Investment Treaties*, 3rd edn (Oxford, OUP, 2022) 53 ff.; and R Dolzer, U Kriebaum and C Schreuer, *Principles of International Investment Law*, 3rd edn (Oxford, OUP, 2022), for international investment law.

⁶ JH Jackson, ‘The Quest for International Law in Financial Regulation and Monetary Affairs: Introductory Note’ (2010) 13(3) *Journal of International Economic Law* (JIEL) 525; C Brummer, ‘Why Soft Law Dominates International Finance and Not Trade’, (2010) 13(3) JIEL 623; JP Trachtman, ‘The International Law of Financial Crisis: Spillovers, Subsidiarity, Fragmentation and Cooperation’ (2010) 13(3) JIEL 719; D Rodrik, *The Globalization Paradox: Democracy and the Future of the World Economy* (New York, W.W. Norton, 2011); E Avgouleas, *Governance of Global Financial Markets: The Law, The Economics, The Politics* (Cambridge, CUP, 2012); D Schoenmaker, *Governance of International Banking: The Financial Trilemma* (Oxford, OUP, 2013); RM Lastra, ‘Do We Need a World Financial Organization?’ (2014) 17(4) JIEL 787.

⁷ L Borlini, ‘On Financial Nationalism and International Law: Sovereignty, Cooperation and Hard/Soft Governance in International Finance’ (2020) 30(3) *European Journal of International Law* (EJIL) 1123, 1123–5. On this topic see, generally, F Lupo-Pasini, *The Logic of Financial Nationalism* (Cambridge, CUP, 2017).

⁸ See further T Cottier, JH Jackson and RM Lastra (eds), *International Law in Financial Regulation and Monetary Affairs* (Oxford, OUP, 2012); RM Lastra, *International Financial and Monetary Law*, 2nd edn (Oxford, OUP, 2015); C Brummer, *Soft Law and the Global Financial System: Rule-Making in the 21st Century*, 2nd edn (Cambridge, CUP, 2015).

⁹ M Herdegen, ‘International Economic Law’, MPEPIL (November 2020) para 1.

Despite its expansion and increasing sophistication, heterogeneity remains a distinctive aspect of this area of international law so that even the definition of its precise contours is controversial. In the interest of tangible demarcation, indeed, the notion of IEL is sometimes confined to a narrow concept that exclusively refers to the area of public international law ‘directly governing – rather than merely affecting – economic relations between States or international organizations’.¹⁰ By contrast, a broader understanding reflects also the role of private actors or hybrid entities administering public goods of major relevance to the international community.¹¹ This broader concept of IEL includes ‘international conventions and codes of conduct addressing transboundary activities of private enterprises as well as problems of jurisdiction of States’ and, what is more important for the purposes of the present study, ‘*conflicting interests of States concerning the regulation of economic activities in an international context*’.¹² Understood in this way, IEL includes the following core segments: the regulation of the exchange of goods and services across borders (international trade law), cross-border movement of capital and promotion and protection of foreign investments (international investment law), monetary relations (international monetary law); international cooperation on supervision, regulation and crisis management of financial institutions (international financial law); international protection of intellectual property (international property rights law); and the interplay of domestic competition rules concerning the issue of undertakings (international antitrust or competition law).

The quest for coherence and integration has led scholars to the identification of a few general concepts and principles (eg, reciprocity and non-discrimination;¹³ proportionality and good governance); interests (eg, development); as well as shared challenges¹⁴ that characterise IEL and its progressive developments. Along this line of thought, the imperative of liberalising trade and the objective of creating the conditions for internationally contestable markets;¹⁵ the creation

¹⁰ *ibid*, para 1.

¹¹ Two different, but equally important and known, cases are the Internet Corporation for Assigned Numbers and Names (ICANN), and the Financial Action Task Force (FATF).

¹² Herdegen (n 9) para 1, emphasis added. See also L Choukroune and JJ Nedumpara, *International Economic Law, Texts, Cases and Materials* (Cambridge, CUP, 2022) vii–viii.

¹³ N DiMascio and J Pauwelyn, ‘Nondiscrimination in Trade and Investment Treaties: Worlds Apart or Two Sides of the Same Coin?’ (2008) 102(1) *American Journal of International Law* 48.

¹⁴ These challenges may be contingent – for instance, nationalism lately on the rise with international institutions under stress – or more structural in nature – eg, relations of international economic legal rules to non-strictly economic but key concerns: the protection of the environment in the age of climate change, the respect and promotion of human rights and the rule of law within a decentralised system of governance, and the challenges of global labour and non-labour migration flows. For an introductory discussion of these latter kind of challenges see Cottier (n 2) 3–4.

¹⁵ Explicitly, a market is ‘internationally contestable’ when the competitive conditions allow access without obstacles to goods, services, ideas, investments, and persons involved in commercial transactions, coming from other countries. In short, it is a market in which the competitive process is unimpeded by private or public anticompetitive conduct, including any advantage governments secure for enterprises under their control. See TJ Schoenbaum, ‘The Concept of Market Contestability and New Agenda of the Multilateral Trading System’ (1996) 1(2) *ASIL Insights*.

of a stable and predictable environment that favours foreign investments and the related establishment of rights for private (non-state) investors, which can be directly applicable against host countries;¹⁶ the surveillance of currency arrangements and assistance to states in case of balance of payment deficits;¹⁷ and the prevention of systemic financial failure,¹⁸ if not unifying principles of IEL,¹⁹ are conventionally considered as the organising, (and inter-related), functions of its main segments.

Still, it is the *common subtext* of these different segments that seems to characterise the body of law under discussion *as a whole*: this subtext being the promotion of liberal market values, the integration of international markets, and the retreat of the state in the allocation of resources unless otherwise necessary to correct market failures or achieve specific societal goals. Although seemingly reductive,²⁰ such a reading has the advantage of making it clear why the resurgence (or, as Rob Howse aptly puts it in chapter three of this volume, the ‘resilience’²¹) of the state as a business actor, and, particularly, the increasing role of state enterprise²² in both domestic markets and international transactions, is

¹⁶ See U Kriebaum, ‘The Nature of Investment Disciplines’, in Z Douglas, J Pauwelyn and JE Vinuales (eds), *The Foundations of International Investment Law: Bringing Theory into Practice* (Oxford, OUP, 2014) 45–72; Salacuse (n 5) 53–55; Dolzer (n 5) 20.

¹⁷ Lastra (n 8) 15. However, as ‘monetary affairs amount to one of the last and most solid bastions of national sovereignty’, E Baltensperger and T Cottier, ‘The Role of International Law in Monetary Affairs’ (2010) 13 *JIEL* 912, 927 correctly pointed out, as a matter of fact, ‘there are hardly any substantive [international law] rules on the subject ... [and] even the procedural and structural rules are weak’.

¹⁸ The concept of financial stability is somehow elusive. Often, it is described negatively as the absence of crisis. The true value of financial stability is indeed best illustrated in its absence, in periods of financial instability. During these periods, banks are reluctant to finance profitable projects, asset prices deviate excessively from their intrinsic values and payments may not arrive on time. Major instability can lead to bank runs, hyperinflation or a stock market crash. It can severely shake confidence in the financial and economic system. *cf.* Reiser, ‘Financial Stability’, in T Cottier and KN Shefer (eds), *Elgar Encyclopaedia of International Economic Law* (Cheltenham, Edward Elgar, 2017) 251.

¹⁹ RM Gadbaw, ‘The Prevention of Systemic Failure as a Unifying Principle of International Economic Law’ (2014) 17(4) *JIEL* 823.

²⁰ In-depth critical analyses are offered, among many by D Kennedy, *A World of Struggle. How Power, Law, and Expertise Shape Global Political Economy* (New Jersey, Princeton University Press, 2016), esp. Part III; A Carty, *Philosophy of International Law*, 2nd edn (Edinburgh, Edinburgh University Press, 2017) Ch 7; A Orford, ‘Theorizing Free Trade’, in A Orford and F Hoffmann (eds), *The Oxford Handbook of the Theory of International Law* (Oxford, OUP, 2016), 701.

²¹ See ch 3, in this volume. See also R Howse, ‘Official Business: International Trade Law and the Resurgence (or Resilience) of the State as an Economic Actor’ [July 23, 2021] *University of Pennsylvania Journal of International Law*, forthcoming, NYU Law and Economics Research Paper No 15, NYU School of Law, Public Law Research Paper No 21-31, at: ssrn.com/abstract=3892415 (accessed 9 September 2021.) See also ch 2, in this volume.

²² In this chapter we will use the term ‘state enterprises’ to designate in general a range of business entities over which the state has influence beyond the use of general policy tools like regulation. What level or kind of influence triggers the different concerns discussed in the book is itself a matter of debate and indeed some confusion, with the highest level of concern often being expressed over enterprises that are owned in whole or in part by the state and through which it exercises control through appointment of the board and/or managers. Yet these are hardly the only ways in which the state can influence the operational or business decisions of enterprises. Thus, in using the term ‘state enterprises’ I leave open the question of what level of state involvement or influence, and what kind,

attracting so much attention among states, international organisations, scholars and practitioners, who are increasingly confronted with different legal issues concerning such entities. To put it crudely, the increasingly free international movement of goods, services and capitals and the underlying implicit trust in competition and free markets have brought with them growing suspicion about the motives of state enterprises when they invest, allocate scarce resources, move goods and services across borders, procure goods and services.²³

The present chapter is premised on the assumption that the promotion of liberal market values is an important objective of the international economic order, but that so too is (and will be) the preservation of institutional diversity and the capacity for institutional innovation, against which it has always to be balanced.²⁴ A number of different international rules may apply to state enterprises. After situating state enterprises in the contemporary international legal system looking particularly at economic relations among states, this chapter will focus on the main challenges to regulation that government influence on state enterprises' activities poses to the two areas of international trade law and international investment law in light of their foundational principles and common subtext.

II. STATE ENTERPRISES AND THE INTERNATIONAL LEGAL SYSTEM IN THE TWENTY-FIRST CENTURY: SOME INTRODUCTORY REMARKS

Across the ages and geographically, states have always intervened in the economy through various forms of state enterprises. The last 30 years are featured by mixed trends, however. The end of the twentieth century was a time of privatisation; so far, the new millennium has presaged a resurgence of state capitalism.²⁵ State involvement in the economy is today less obvious but no less important than in the past. It is both pervasive and opaque, but in surveying the economic battlefield today, one can easily conclude that state capitalism still looms large in both developed and developing countries:²⁶ state-owned enterprises (SOEs),

should trigger international economic rules, new or proposed. Conversely, when a certain form and/or level of state influence triggers a specific legal issue or is considered in a given international rule, I will explicitly refer to that instance.

²³ See J Chaisse, 'Untangling the Triangle: Issues for State-controlled Entities in Trade, Investment, and Competition Law', in J Chaisse and T-Y Lin (eds), *International Economic Law and Governance* (Oxford, OUP, 2016) 233.

²⁴ See also A Lang, 'Heterodox Markets and "Market Distortions" in the Global Trading System' (2019) 22(4) *JIEL* 680, 687. *cf* also ch 2, in this volume.

²⁵ Howse (n 21) 2.

²⁶ Whereas their importance increased dramatically over the past two decades, state enterprises have been in existence for a long time. FAM Riad, 'L'entreprise publique et semi-publique en droit international privé' [1963] *Recueil des Cours* 565: 'Il est notoire que la participation de l'Etat à la vie économique est un phénomène fort ancien, et les auteurs ne manquent pas de rappeler que, dans l'ancienne Égypte, l'État exploitait les huileries, que les Empereurs romains exploitaient les arsenaux et les Rois de France des manufactures d'art.'